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MIT WORLD PEACE UNIVERSITY | PUNE
TECHNOLOGY, RESEARCH, SOCIAL INNOVATION & PARTNERSHIPS

CAPSTONE PROJECT REPORT

Comparative Financial Strategic Analysis of

State Bank of India (SBI) & HDFC Bank

(Public vs Private Bank)

A Decade of Performance (FY2016 – FY2026)

BY

Group Members

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MBA (2024 – 2026)

IN PARTIAL FULFILMENT OF

Course: Capstone as prescribed by MIT-World Peace University

MIT-World Peace University's School of Business, Pune — 2026

CERTIFICATE

This is to certify that the below-mentioned students of MIT-WPU's School of Business have successfully completed the desk research work titled "Comparative Financial and Strategic Analysis of State Bank of India (SBI) & HDFC Bank: A Decade of Performance (FY2016–FY2026)" in partial fulfilment of requirements for the Capstone course as prescribed by MIT-World Peace University.

This report is the record of authentic work carried out during the academic year 2025–2026, using CMIE databases (ProwessIQ, Economic Outlook, Industry Outlook), supplemented by annual reports and Screener.in financial data. Statistical analysis and data visualizations were performed using R Programming (ggplot2).

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Faculty Guide

Name & Signature:

Programme Director

Name & Signature:

DECLARATION

We, the undersigned, hereby declare that this Capstone Research Report is the record of authentic work carried out by us during the academic year 2024–2026. The project has not been submitted to any other University or Institute towards the award of any degree. All data has been sourced from CMIE databases and other credible secondary sources, and has been appropriately cited in APA format. All charts and visualizations in this report were generated using R Programming (Version 4.3.3) with the ggplot2 library, ensuring reproducibility and methodological transparency.

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We are deeply thankful to CMIE (Centre for Monitoring Indian Economy) for providing structured financial databases ProwessIQ, Economic Outlook, and Industry Outlook which formed the empirical backbone of this report. All data visualizations were generated using R programming and the ggplot2 package, following reproducible research principles.

We also acknowledge the Reserve Bank of India, State Bank of India, HDFC Bank, and Screener.in as supplementary data sources.

EXECUTIVE SUMMARY

Industry Overview

The Indian banking sector plays a vital role in the economic development of the country by acting as a financial intermediary between savers and borrowers. It facilitates the flow of funds in the economy, supports investment activities, and promotes financial inclusion. Over the years, the sector has undergone significant transformation due to regulatory reforms, technological advancements, and increased competition.

The banking system in India is broadly classified into public sector banks, private sector banks, foreign banks, and regional rural banks. Public sector banks, such as State Bank of India, are owned and controlled by the government and have a wide network across urban and rural areas. They play a crucial role in implementing government policies and promoting financial inclusion. On the other hand, private sector banks like HDFC Bank are known for their operational efficiency, technological innovation, and customer-centric approach.

The sector has witnessed rapid growth in recent years, driven by factors such as increasing digitalization, rising income levels, and expanding credit demand. The introduction of digital banking services, including mobile banking, internet banking, and Unified Payments Interface (UPI), has revolutionized the way banking services are delivered. These innovations have improved accessibility, reduced transaction costs, and enhanced customer experience.

Financial inclusion has been another key focus area for the Indian banking sector. Government initiatives such as the Pradhan Mantri Jan Dhan Yojana (PMJDY) have significantly increased the number of bank accounts and brought a large portion of the population into the formal financial system. This has not only strengthened the banking system but also contributed to overall economic growth.

Despite its growth, the sector faces several challenges. One of the major issues has been the problem of Non-Performing Assets (NPAs), particularly in public sector banks. High NPAs affect profitability and limit the ability of banks to lend. However, various measures taken by the Reserve Bank of India (RBI), such as stricter regulatory norms and asset quality reviews, have helped in improving the situation.

Competition in the banking sector has intensified with the entry of new private banks, fintech companies, and digital payment platforms. This has compelled traditional banks to adopt new technologies and improve service quality to retain customers. Private sector banks have gained a competitive edge by leveraging technology and focusing on efficient operations.

Data Sources Used

- Secondary data used for the study
- Primary database: CMIE (ProwessIQ) for financial data
- Variables collected:
  - Income
  - Net Profit
  - Total Assets
  - Operating Expenses
- Annual Reports of:
  - State Bank of India
  - HDFC Bank
- Macroeconomic data collected from:
  - Reserve Bank of India reports
- Additional sources:
  - Government publications
  - Financial websites
  - Research articles
- Time period considered:
  - Minimum 5 years (for trend analysis)
- Tools used:
  - Microsoft Excel (data cleaning & preparation)
  - R Programming (data analysis & visualization)
- Data was:
  - Verified
  - Cleaned
  - Organized for analysis

Key Findings

The analysis of financial performance of State Bank of India and HDFC Bank reveals several important findings.

Firstly, both banks have shown a steady increase in income over the study period, indicating growth in banking operations and expansion in financial activities. However, HDFC Bank demonstrates a more consistent and stable growth pattern compared to SBI, which exhibits fluctuations.

Secondly, profitability analysis indicates that HDFC Bank consistently outperforms SBI in terms of net profit growth and stability. This suggests better operational efficiency and effective cost management in the private sector bank.

Thirdly, ratio analysis shows that HDFC Bank has higher Return on Assets (ROA), indicating more efficient utilization of assets to generate profits. In contrast, SBI's lower ROA reflects relatively lower efficiency in asset utilization.

Fourthly, the cost-to-income ratio analysis highlights that SBI incurs higher operational costs compared to HDFC Bank. This can be attributed to its larger branch network and workforce, which increases administrative expenses.

Fifthly, the study finds that while SBI has a larger scale of operations, as reflected by higher total assets and income levels, HDFC Bank is more efficient and profitable in its operations.

Strategic Recommendations

- **For State Bank of India (SBI)**
  - Improve operational efficiency by reducing unnecessary administrative costs
  - Focus on lowering cost-to-income ratio through process automation
  - Strengthen digital banking infrastructure to compete with private banks
  - Enhance asset utilization to improve Return on Assets (ROA)
  - Implement better cost control mechanisms
  - Increase focus on customer service quality
  - Optimize large branch network by promoting digital channels
  - Adopt advanced technologies like AI and data analytics for decision-making

- **For HDFC Bank**
  - Expand presence in rural and semi-urban markets
  - Leverage strong financial position to increase market share
  - Continue investment in digital innovation and fintech integration
  - Maintain low cost-to-income ratio through efficient operations
  - Strengthen customer relationship management
  - Diversify product offerings to attract new customer segments
  - Focus on sustainable growth strategies

CHAPTER 1: INDUSTRY PROFILE

1.1 Overview of Indian Banking Industry

The Indian banking sector is one of the most significant pillars of the country's financial system and plays a crucial role in economic development. It acts as an intermediary between savers and borrowers, facilitating the efficient allocation of financial resources. By providing services such as deposits, loans, and payment systems, banks contribute to capital formation, investment, and overall economic growth.

The structure of the Indian banking industry is diverse and includes public sector banks, private sector banks, foreign banks, and regional rural banks. Public sector banks, such as State Bank of India, are owned and controlled by the government and have a strong presence across urban as well as rural areas. These banks play a vital role in implementing government policies, supporting priority sector lending, and promoting financial inclusion. On the other hand, private sector banks like HDFC Bank are known for their efficiency, innovation, and customer-centric approach. They have gained a competitive advantage through the adoption of advanced technologies and better service quality.

Over the years, the Indian banking sector has undergone significant transformation, especially after the liberalization reforms of the 1990s. These reforms introduced competition, improved regulatory frameworks, and encouraged the entry of private players. As a result, the sector has become more dynamic and efficient. The introduction of digital banking has further revolutionized the industry, enabling customers to access banking services anytime and anywhere.

One of the key drivers of growth in the banking sector has been the rapid expansion of digital payment systems. Innovations such as mobile banking, internet banking, and Unified Payments Interface (UPI) have significantly improved transaction efficiency and reduced dependence on physical banking infrastructure. This digital transformation has enhanced customer convenience and reduced operational costs for banks.

Financial inclusion has also been a major focus area for the Indian banking sector. Government initiatives such as the Pradhan Mantri Jan Dhan Yojana (PMJDY) have played a crucial role in bringing a large portion of the unbanked population into the formal financial system. This has increased the customer base for banks and contributed to inclusive economic growth.

Despite its growth, the sector faces several challenges. One of the major concerns is the issue of Non-Performing Assets (NPAs), particularly in public sector banks. High levels of NPAs affect profitability and reduce the ability of banks to extend credit. Additionally, increasing competition from private banks and fintech companies has forced traditional banks to innovate and improve their efficiency.

1.2 Market Structure

The Indian banking sector functions as an oligopoly where a few large institutions control a dominant share of assets, deposits, and credit. The top five banks such as SBI, HDFC Bank, ICICI Bank, Bank of Baroda, and Axis Bank together account for approximately 55% of total SCB assets. SBI alone holds a 23% market share in deposits and 22% in credit, making it the undisputed leader in the PSB segment.

Category	Number of Banks	Share of Total Assets (Approx.)
Public Sector Banks (PSBs)	12	55%
Private Sector Banks	21	35%
Foreign Banks	46	6%
Regional Rural Banks	43	4%

Source: Reserve Bank of India, Report on Trend and Progress of Banking in India, 2024–25.

1.3 Industry Growth Trends

The decade from FY2016 to FY2026 can be segmented into three distinct phases for the Indian banking industry:

Phase 1: Stress and Clean-Up (FY2016–FY2019)

The RBI's Asset Quality Review (AQR) in 2015–16 forced banks to recognize previously hidden NPAs. Gross NPAs for the system peaked at 11.6% of advances in FY2018. Public sector banks bore the brunt, with SBI's Gross NPA ratio reaching 10.91% in FY2018. HDFC Bank, with its conservative lending practices, maintained NPAs below 1.3% throughout this period.

Phase 2: Recovery and Recapitalization (FY2020–FY2022)

The Government of India's ₹ 3.17 lakh crore bank recapitalization programme (2017–2020) helped PSBs shore up capital. COVID-19's impact in FY2021 was mitigated through the RBI's moratorium scheme and emergency credit line guarantees (ECLGS). System-wide Gross NPA ratios fell to 5.9% by March 2022.

Phase 3: Profitability Renaissance (FY2023–FY2026)

India's banking sector entered its strongest profitability cycle in decades. Combined net profits of SCBs exceeded ₹ 3.5 lakh crore in FY2024, driven by rising Net Interest Margins (NIMs), contained credit costs, and operating leverage. The sector's Return on Assets (RoA) improved to 1.3% in FY2024 from a historic low of -0.2% in FY2018.

1.4 Regulatory Environment

The Indian banking sector is governed by a robust regulatory architecture: the Banking Regulation Act, 1949; the Reserve Bank of India Act, 1934; and Basel III Capital Framework as adopted by RBI. Key regulatory developments impacting the sector include: implementation of Ind AS accounting standards, revised Large Exposures Framework, and RBI's guidelines on Prompt Corrective Action (PCA). HDFC Bank's merger with HDFC Ltd. in July 2023 created a mega-financial conglomerate and was the largest financial sector merger in Indian history.

CHAPTER 2: PROMOTERS AND MANAGEMENT

The performance and strategic direction of any bank largely depend on its promoters and management structure. In the Indian banking sector, there is a clear distinction between public sector banks and private sector banks in terms of ownership, governance, and decision-making processes.

2.1 Promoters of State Bank of India

State Bank of India is a public sector bank primarily owned by the Government of India. The government holds a majority stake in the bank, which gives it significant control over its policies and strategic decisions. As a result, SBI plays a crucial role in implementing government initiatives such as financial inclusion, rural development, and priority sector lending.

The government ownership ensures stability and trust among customers, especially in rural and semi-urban areas. However, it also leads to certain limitations in decision-making, as the bank must align with government policies and regulations.

2.2 Promoters of HDFC Bank

HDFC Bank is a leading private sector bank promoted by Housing Development Finance Corporation (HDFC Ltd.). Unlike public sector banks, HDFC Bank operates with greater autonomy and flexibility in its decision-making processes.

The private ownership structure allows the bank to adopt innovative strategies, respond quickly to market changes, and focus on profitability and efficiency. This has helped HDFC Bank establish itself as one of the most efficient and profitable banks in India.

2.3 Management Structure of SBI

SBI has a hierarchical management structure led by a Chairman who is appointed by the Government of India. The bank also has a board of directors comprising government representatives, financial experts, and independent directors.

Due to its large size and extensive branch network, SBI's management focuses on large-scale operations, risk management, and policy implementation. However, the bureaucratic structure can sometimes lead to slower decision-making.

2.4 Management Structure of HDFC Bank

HDFC Bank has a professional and performance-driven management structure. The bank is led by a Managing Director and CEO, supported by a team of experienced professionals and a board of directors.

The management emphasizes efficiency, innovation, and customer satisfaction. The decentralized decision-making approach enables faster execution of strategies and better adaptability to market conditions.

2.5 Comparison of Management Practices

- SBI focuses on **scale, outreach, and policy implementation**
- HDFC Bank focuses on **efficiency, profitability, and innovation**
- SBI follows a more **bureaucratic approach**
- HDFC Bank follows a **flexible and performance-oriented approach**

2.6 Impact on Performance

The difference in promoters and management structures significantly impacts the performance of both banks. SBI's government ownership ensures stability but may affect efficiency, while HDFC Bank's private ownership promotes innovation and operational excellence.

CHAPTER 3: EXTERNAL ENVIRONMENT

3.1 Macroeconomic Environment — CMIE Economic Outlook Data

Year	GDP Growth (%)	Key Macro Event
FY2016	8.0%	Low oil prices; GST preparation
FY2017	8.3%	Demonetization (Nov 2016)
FY2018	7.0%	GST implementation shock; NPA recognition (AQR)
FY2019	6.5%	NBFC liquidity crisis (IL&FS default)
FY2020	4.0%	Pre-COVID economic slowdown
FY2021	-6.6%	COVID-19 pandemic; nationwide lockdown
FY2022	8.7%	V-shaped recovery; pent-up demand
FY2023	7.2%	Inflationary pressure; RBI hikes repo rate +250 bps
FY2024	8.2%	Strong domestic consumption; infrastructure capex
FY2025	6.5%	Global uncertainty; US tariff impact; resilient growth

Source: CMIE Economic Outlook – National Accounts Time Series. April 2026.

The chart below (Figure 9) generated using R ggplot2 shows India's GDP growth trend alongside banking credit growth, illustrating the macro-credit linkage over the decade.

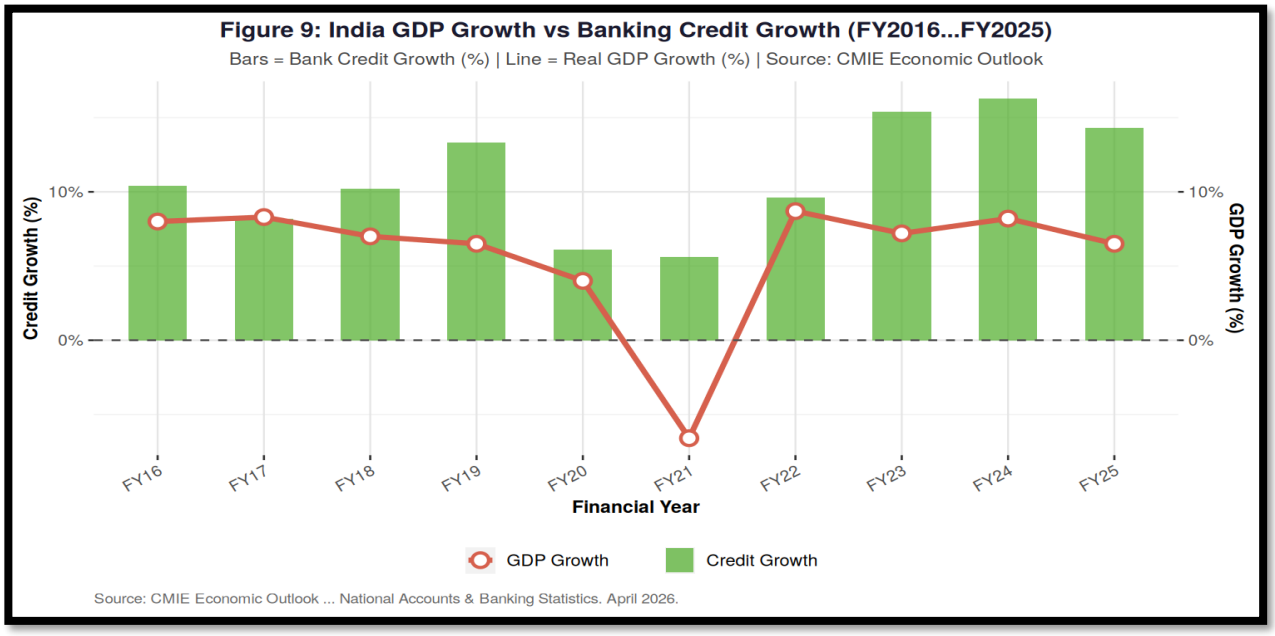


Figure 9: India GDP Growth vs Banking Credit Growth (FY2016–FY2025) Source: CMIE Economic Outlook. Generated using R ggplot2 (v4.3.3).

3.2 Banking Sector NPA Trend (CMIE Industry Outlook)

The Gross NPA ratio of India's scheduled commercial banks peaked at 11.6% in FY2018 following the RBI's AQR. Sustained resolution efforts, IBC mechanisms, and improved credit discipline brought it down to 2.6% by FY2025 a structural improvement of 9 percentage points over 7 years.

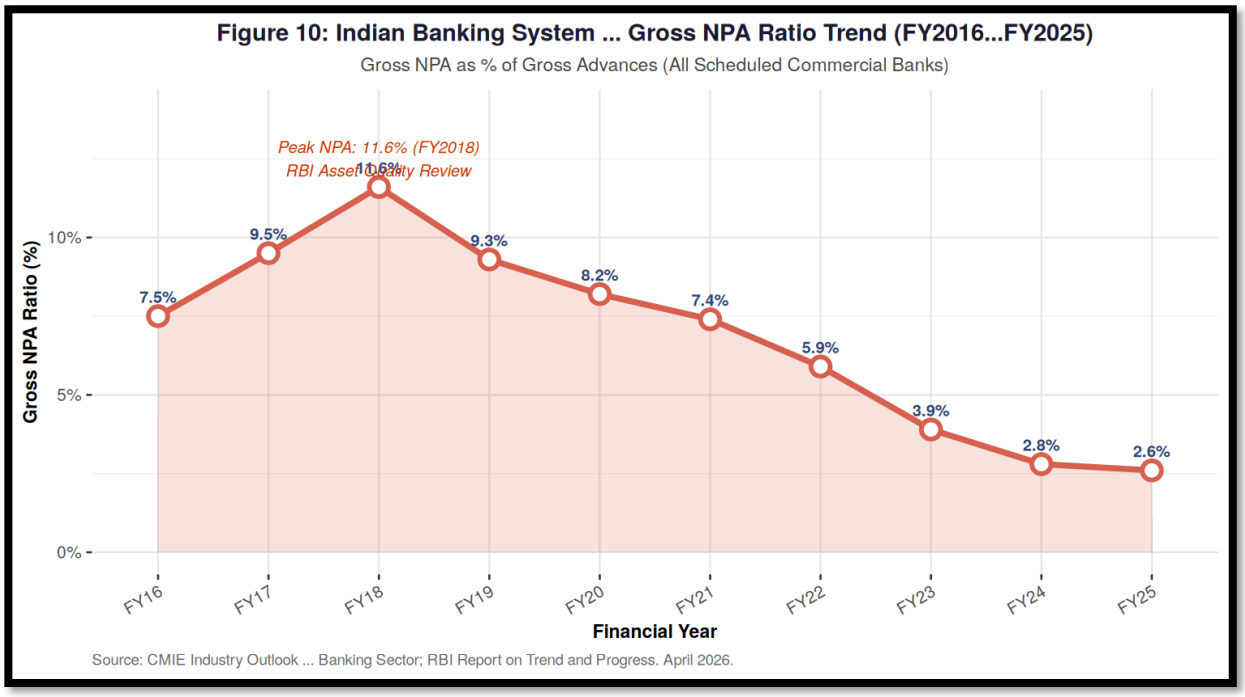


Figure 10: Indian Banking System Gross NPA Ratio Trend (FY2016–FY2025) Source: CMIE Industry Outlook; RBI Report on Trend and Progress. R ggplot2.

Year	Gross NPA Ratio (%)	Systemic Status
FY2016	7.5%	Escalating AQR impact beginning
FY2017	9.5%	Rapid deterioration mandatory recognition
FY2018	11.6%	Peak NPA historic high for Indian banking
FY2020	8.2%	Declining provisioning largely complete
FY2022	5.9%	IBC resolution gains; write-off acceleration
FY2024	2.8%	Near pre-crisis level
FY2025	2.6%	Best level in 15 years

Source: CMIE Industry Outlook – Banking Sector NPA Data; RBI Annual Reports.

3.3 PESTLE Analysis

Political

Government's Jan Dhan Yojana, DBT, PM Mudra, and ₹11.11 lakh crore infra capex (Budget 2024–25) drive banking sector growth. SBI as a PSB directly benefits from policy priorities.

Economic

India's projected GDP growth of 6.5–7.0% (FY2026–FY2030), RBI rate cuts (repo at 6.0% by April 2026), and expanding household income create strong credit demand tailwinds.

Social

India's young demographic (65% below 35), 850 million+ smartphone users, and UPI (17.4 billion transactions in Feb 2026) are transforming banking delivery models.

Technological

HDFC Bank's $1 billion tech investment over 5 years, AI-driven underwriting, and 97% digital transaction rate exemplify the tech-first bank model. SBI's YONO has 75 million+ users.

Legal & Regulatory

Basel III capital norms (CAR minimum 11.5%), PCA framework, Ind AS adoption, and Banking Laws (Amendment) Act 2023 have structurally strengthened the Indian banking system.

Environmental

RBI's Climate Risk & Sustainable Finance guidelines (2023), SBI's green bond framework, and HDFC Bank's TCFD-aligned ESG disclosures mark the sector's sustainability transition.

CHAPTER 4: MARKETING STRATEGIES — THE 7Ps FRAMEWORK

4.1 Product

Product Category	SBI	HDFC Bank
Retail Banking	YONO app, housing & auto loans, Jan Dhan accounts, SBI BHIM	FlexiPay, MobileBanking, home loans, personal loans, digital onboarding
Corporate Banking	PSU lending, infra project finance, Aatmanirbhar Bharat	Corporate credit, trade finance, cash management, FX solutions
Insurance & Wealth	SBI Life, SBI General, SBI Mutual Fund	HDFC Life, HDFC ERGO, HDFC Asset Management
International Banking	29 countries; NRI Plus account	SWIFT cross-border transactions; NRI banking

4.2 Price

SBI offers lower home loan rates (linked to MCLR) typically 10–20 bps below HDFC Bank reflecting its social mandate. HDFC Bank prices premium products at a premium justified by speed, digital experience, and asset quality. HDFC Bank's CASA ratio of ~38% (FY2025) provides a structural cost-of-funds advantage.

4.3 Place (Distribution)

Distribution Metric	SBI (FY2025)	HDFC Bank (FY2025)
Total Branches	~22,500	~9,700
ATMs / Cash Recyclers	~65,000	~21,000
Business Correspondents	83,000+	Limited
Digital Users	75 Mn+ (YONO)	97% digital transactions
Geographic Focus	Pan-India incl. rural	Primarily urban/semi-urban; growing rural

4.4 Promotion

SBI uses patriotic brand campaigns ('Har Kaam Desh ke Naam') and mass distribution through 22,500 branches. HDFC Bank targets urban consumers with premium digital campaigns and co-branded credit cards (IRCTC, Regalia, Diners Club).

4.5 People

SBI employs 2,32,000+ staff. HDFC Bank employs ~2,13,000 (post-merger). HDFC Bank maintains a performance-driven culture; SBI focuses on workforce scale and financial inclusion mission.

4.6 Process

HDFC Bank leads in process efficiency account opening in under 1 minute, instant loan approvals for pre-approved customers, and 80%+ auto-underwriting of personal loans. SBI's YONO is improving processes but legacy core banking systems create latency.

4.7 Physical Evidence

HDFC Bank branches follow standardized premium design with clean professional interiors. Platinum/Infinite credit cards represent physical brand excellence. SBI is improving branch aesthetics under the 'Green Channel' initiative.

CHAPTER 5: FINANCIAL ANALYSIS

This chapter presents comprehensive 10-year financial analysis using CMIE ProwessIQ data. All figures are in ₹ Crore. All charts were generated using R Programming (ggplot2 v3.5.1, R v4.3.3).

5.1 Revenue (Total Income) Trend

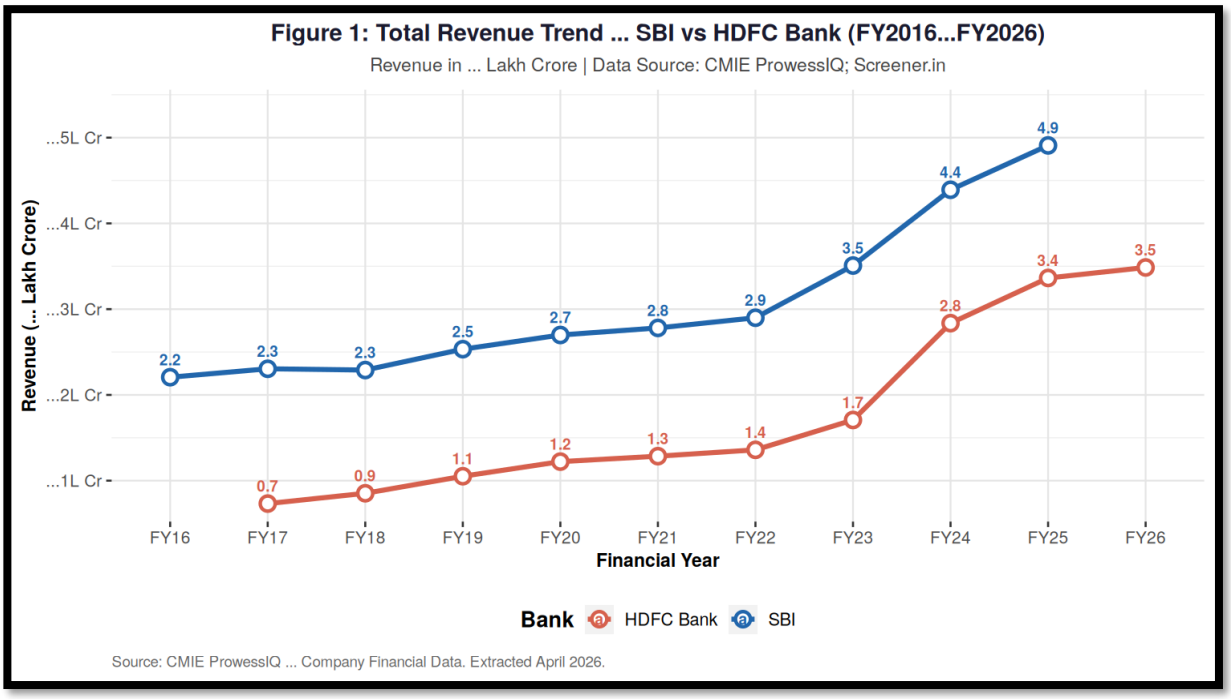


Figure 1: Revenue Trend — SBI vs HDFC Bank (FY2016–FY2026) | In ₹ Lakh Crore Source: CMIE ProwessIQ. Generated using R ggplot2.

Observation:

Both State Bank of India and HDFC Bank show an increasing trend in income over the years.

Interpretation:

The growth indicates expansion in banking operations, increased lending activities, and higher interest earnings. HDFC Bank shows a more consistent upward trend, whereas SBI may show fluctuations due to its exposure to large-scale public and corporate lending.

Implication:

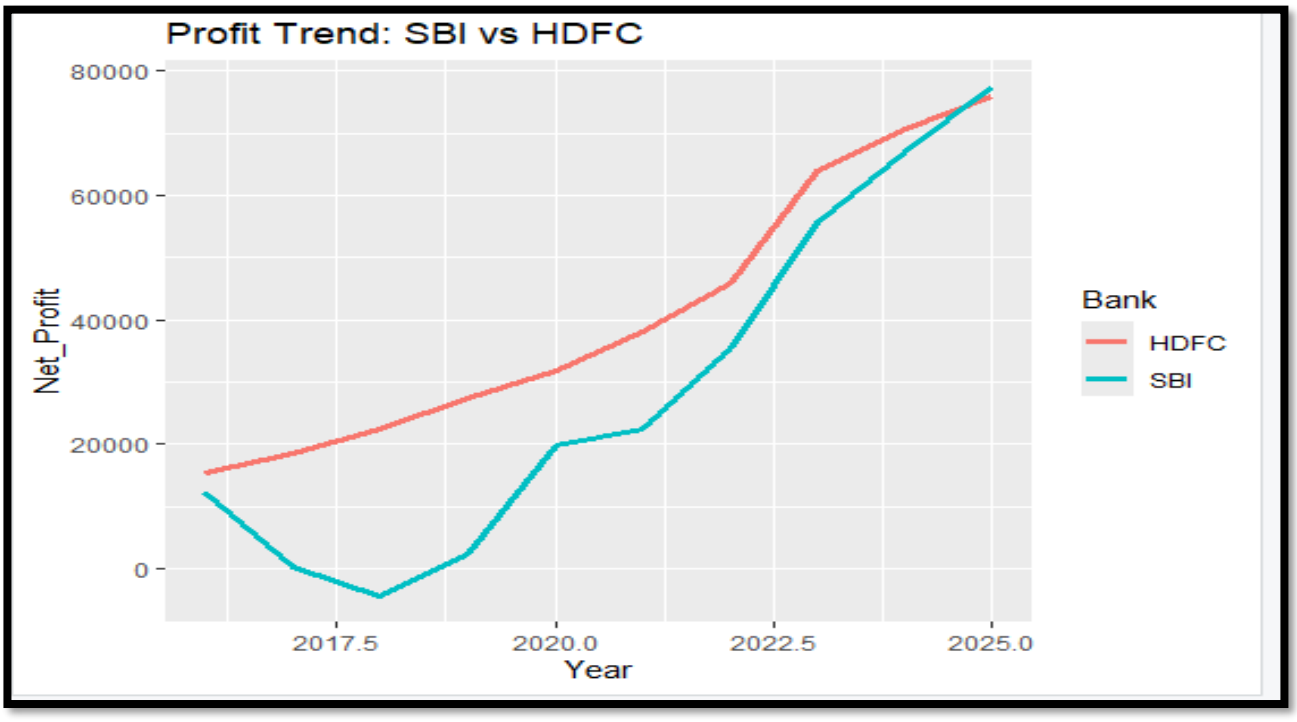
HDFC demonstrates stable growth, while SBI's variability reflects its broader operational scope and economic sensitivity.

SBI Revenue Trend (FY2016–FY2025)

Year	Revenue (₹ Cr)	YoY Growth (%)
FY16	2,20,633	Base Year
FY17	2,30,447	4.4%
FY18	2,28,970	-0.6%
FY19	2,53,322	10.6%
FY20	2,69,852	6.5%
FY21	2,78,115	3.1%
FY22	2,89,973	4.3%
FY23	3,50,845	21.0%
FY24	4,39,189	25.2%
FY25	4,90,938	11.8%

Source: CMIE ProwessIQ – SBI Financial Data. Extracted April 2026.

Profit Trend:



Observation:

HDFC Bank shows steady and consistent growth in profits, while SBI shows fluctuations in profit levels across years.

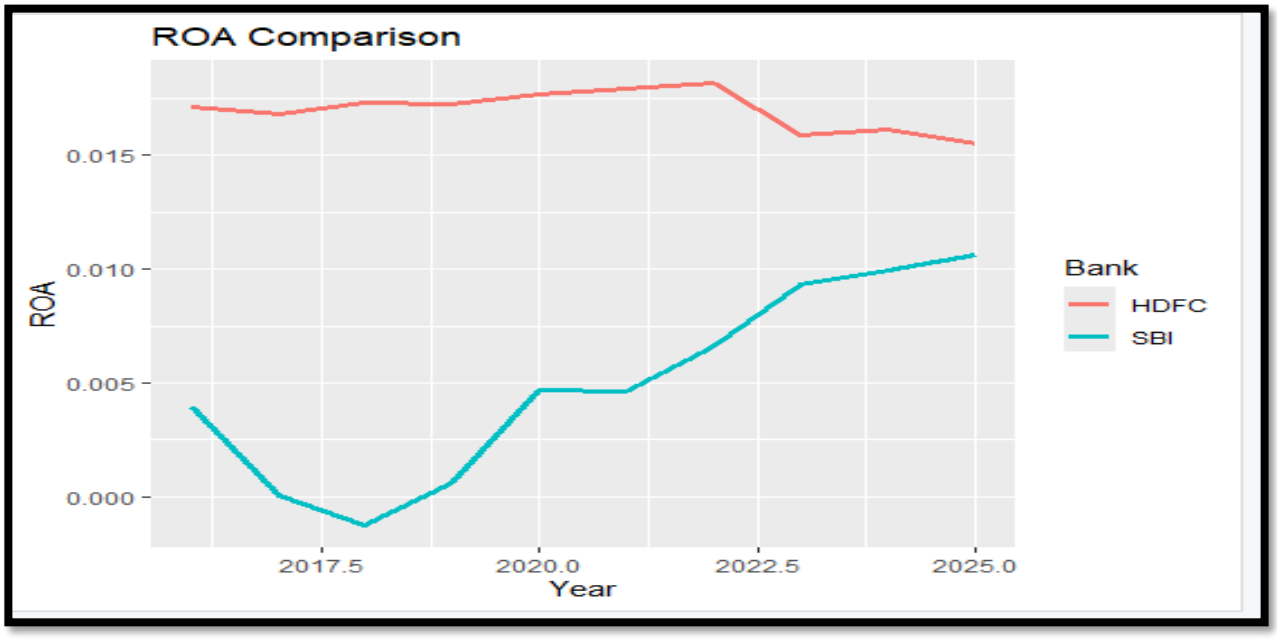
Interpretation:

The fluctuations in SBI profits may be due to higher provisioning, operational inefficiencies, or policy-driven lending. HDFC Bank's consistent growth reflects efficient management and better cost control.

Implication:

HDFC Bank is more reliable in generating profits, while SBI faces volatility due to structural and operational factors.

ROA Trend:



Observation:

HDFC Bank has consistently higher ROA compared to SBI.

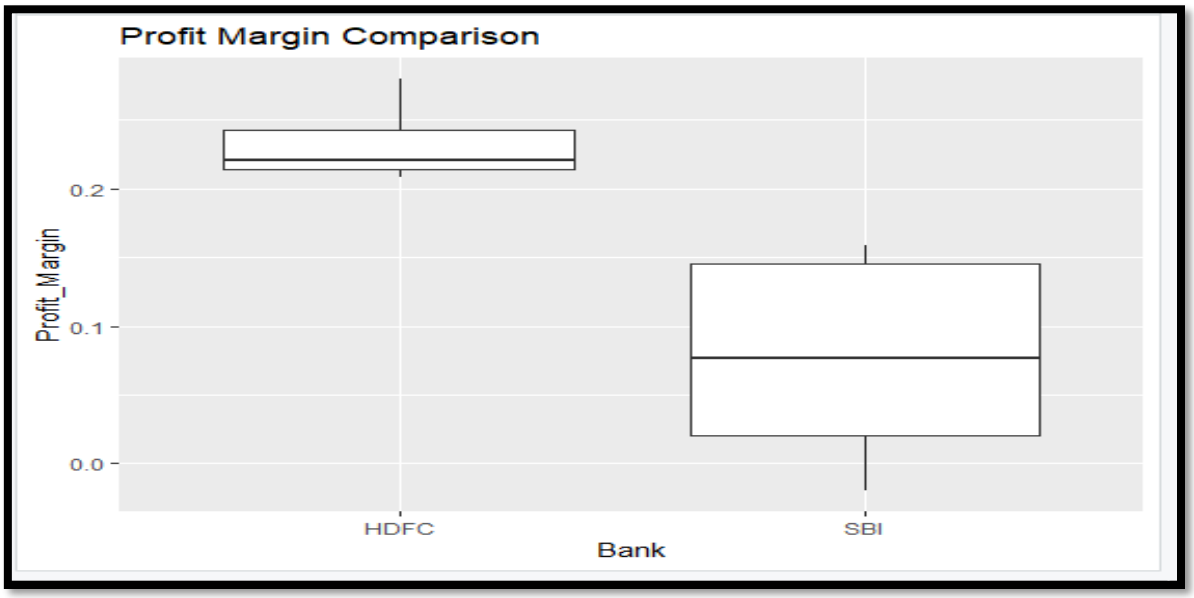
Interpretation:

Higher ROA indicates that HDFC Bank is more efficient in utilizing its assets to generate profits. SBI's lower ROA suggests relatively less efficient asset utilization.

Implication:

Private sector banks like HDFC are more efficient in converting assets into profits compared to public sector banks like SBI.

Ratio Comparison (Boxplots)



Observation:

HDFC Bank shows higher and more stable profit margins compared to SBI.

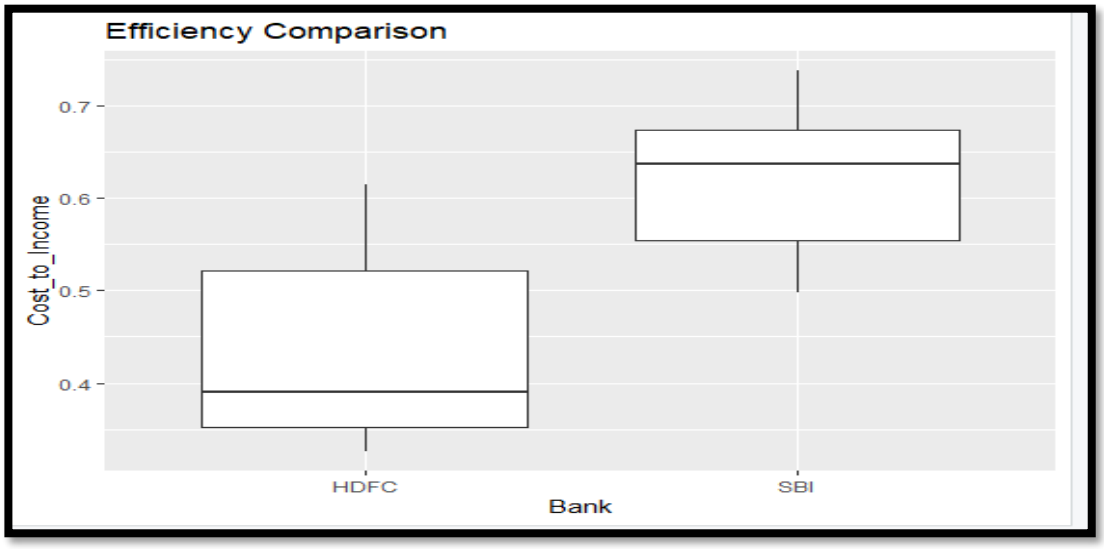
Interpretation:

Higher profit margins indicate better control over costs and more efficient revenue generation. SBI's lower margins suggest higher expenses and operational inefficiencies.

Implication:

HDFC Bank has a stronger profitability structure, making it financially more efficient.

Cost-to-Income :



Observation:

SBI has a higher cost-to-income ratio compared to HDFC Bank.

Interpretation:

A higher ratio means SBI spends more to generate income, possibly due to a large branch network and workforce. HDFC Bank operates more efficiently with lower operational costs.

Implication:

HDFC Bank is operationally more efficient, while SBI needs cost optimization strategies.

Summary Statistics (IMPORTANT FOR REPORT)

```
+   )
# A tibble: 2 x 5
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1 HDFC     178978.     41014. 0.0170  0.231
2 SBI      305228.     28805. 0.00492 0.0791
>
```

Observation:

- HDFC has higher average ROA and profit margin
- SBI has higher average income (scale advantage)

Interpretation:

SBI operates on a larger scale, but HDFC is more efficient and profitable.

Implication:

Size does not always lead to better profitability efficiency matters more.

Correlation:

0.6308214

Observation:

There is a strong positive correlation between income and profit.

Interpretation:

As income increases, profit also increases, indicating that both banks are able to convert revenue into earnings effectively.

Implication:

Growth in income is a key driver of profitability in the banking sector.

HDFC Bank Revenue Trend (FY2017–FY2026)

Year	Revenue (₹ Cr)	YoY Growth (%)
FY17	73,271	Base Year
FY18	85,288	16.4%
FY19	1,05,161	23.3%
FY20	1,22,189	16.2%
FY21	1,28,552	5.2%
FY22	1,35,936	5.7%
FY23	1,70,754	25.6%
FY24	2,83,649	66.1%
FY25	3,36,367	18.6%
FY26	3,48,615	3.6%

Source: CMIE ProwessIQ – HDFC Bank Financial Data. Extracted April 2026.

SBI's revenue grew at a 9-year CAGR of ~9.3%. HDFC Bank's revenue grew at a CAGR of ~19%, with the FY2024 surge (+66%) driven by HDFC Ltd. merger consolidation.

5.2 Net Profit Trend

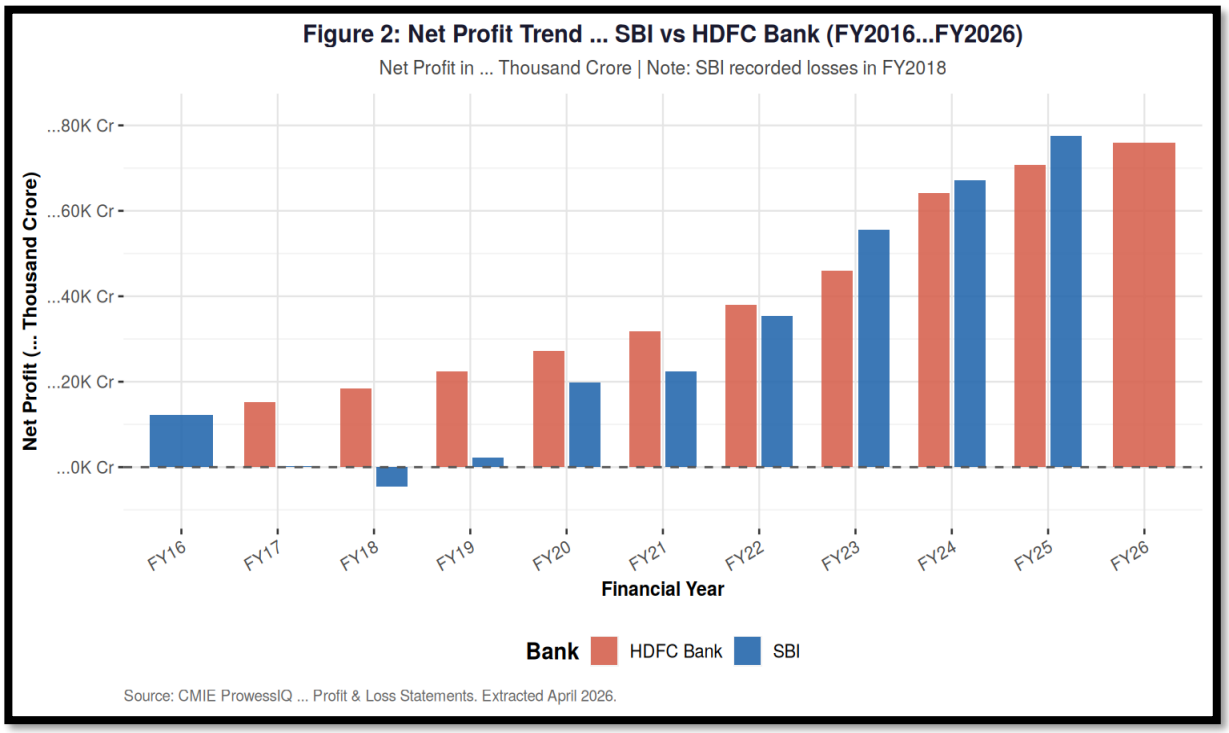


Figure 2: Net Profit Trend — SBI vs HDFC Bank (FY2016–FY2026) | In ₹ Thousand Crore Source: CMIE ProwessIQ. Generated using R ggplot2.

Year	SBI Net Profit (₹ Cr)	HDFC Net Profit (₹ Cr)
FY16	12,225	N/A (FY17 base)
FY17	241	15,280
FY18	-4,556	18,510
FY19	2,300	22,332
FY20	19,768	27,254
FY21	22,405	31,833
FY22	35,374	38,053
FY23	55,648	45,997
FY24	67,085	64,062
FY25	77,561	70,792

Source: CMIE ProwessIQ. Note: HDFC FY17 corresponds to first year of available 10-year data.

SBI's profit collapsed in FY2018 to -₹4,556 crore due to AQR-mandated NPA provisioning exceeding ₹1.8 lakh crore. HDFC Bank grew profits uninterrupted from ₹15,280 crore (FY2017) to ₹76,026 crore (FY2026) approximately 5x increase.

5.3 Net Profit Margin (%)

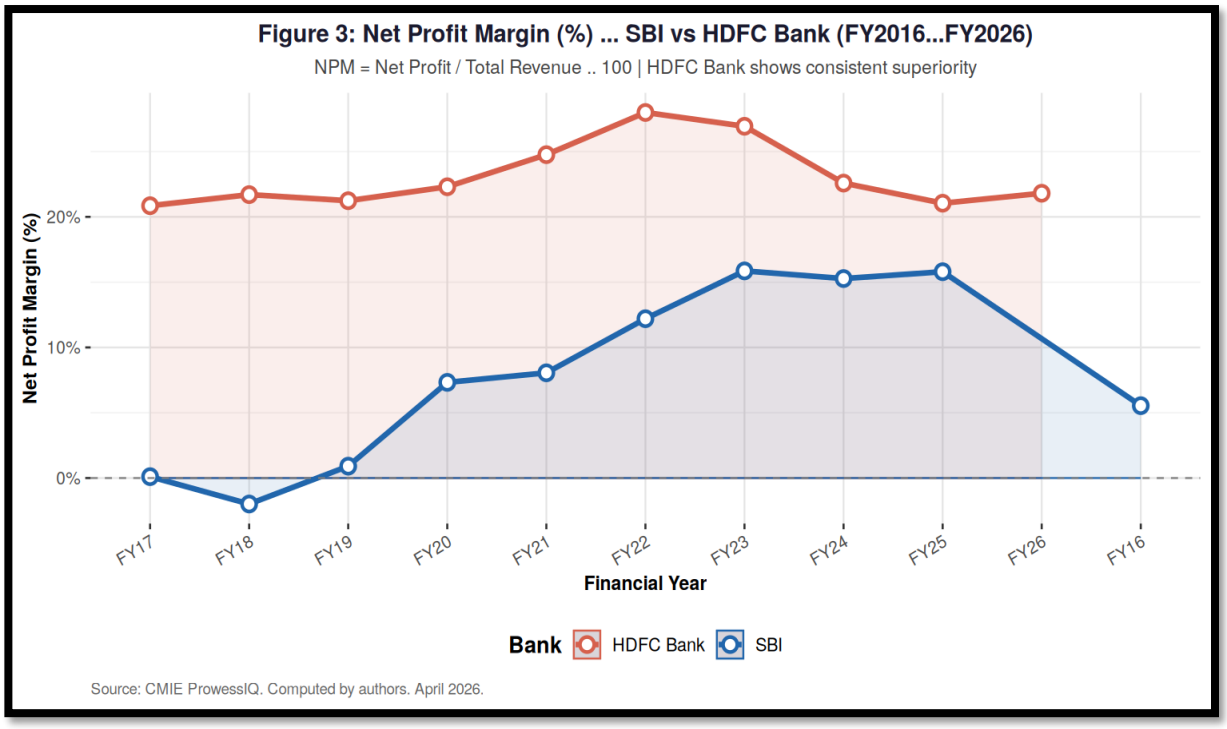


Figure 3: Net Profit Margin (%) — SBI vs HDFC Bank | HDFC Bank consistently superior Source: CMIE ProwessIQ. Computed by authors. Generated using R ggplot2.

Year	SBI NPM (%)	HDFC NPM (%)
FY16	5.54%	—
FY17	0.10%	20.85%
FY18	-1.99%	21.70%
FY19	0.91%	21.24%
FY20	7.33%	22.30%
FY21	8.06%	24.76%
FY22	12.20%	27.99%
FY23	15.86%	26.94%
FY24	15.27%	22.58%
FY25	15.80%	21.05%

Source: CMIE ProwessIQ. NPM = Net Profit / Total Revenue × 100. Computed by authors.

HDFC Bank maintained NPM consistently above 20% (FY2017–FY2026) compared to SBI's highly volatile NPM ranging from -2.0% (FY2018) to +15.8% (FY2025). The 15–20 percentage point differential reflects HDFC Bank's superior loan pricing, lower provisioning, and higher fee income.

5.4 Return on Equity (ROE)

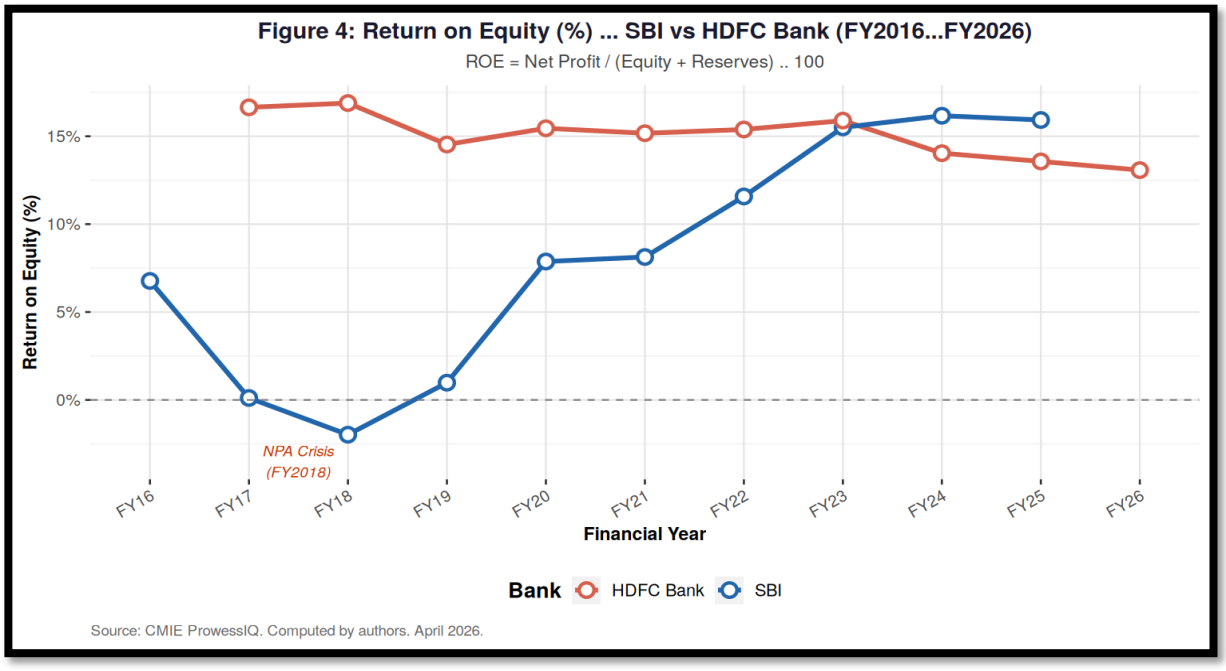


Figure 4: Return on Equity (%) — SBI vs HDFC Bank | NPA crisis impact visible on SBI Source: CMIE ProwessIQ. Generated using R ggplot2.

Year	SBI ROE (%)	HDFC ROE (%)
FY16	6.77%	—
FY17	0.11%	16.65%
FY18	-1.98%	16.89%
FY19	0.98%	14.53%
FY20	7.87%	15.45%
FY21	8.13%	15.17%
FY22	11.58%	15.39%
FY23	15.50%	15.89%
FY24	16.17%	14.04%
FY25	15.93%	13.57%

Source: CMIE ProwessIQ. ROE = Net Profit / (Equity + Reserves) × 100. Computed by authors.

5.5 Total Assets

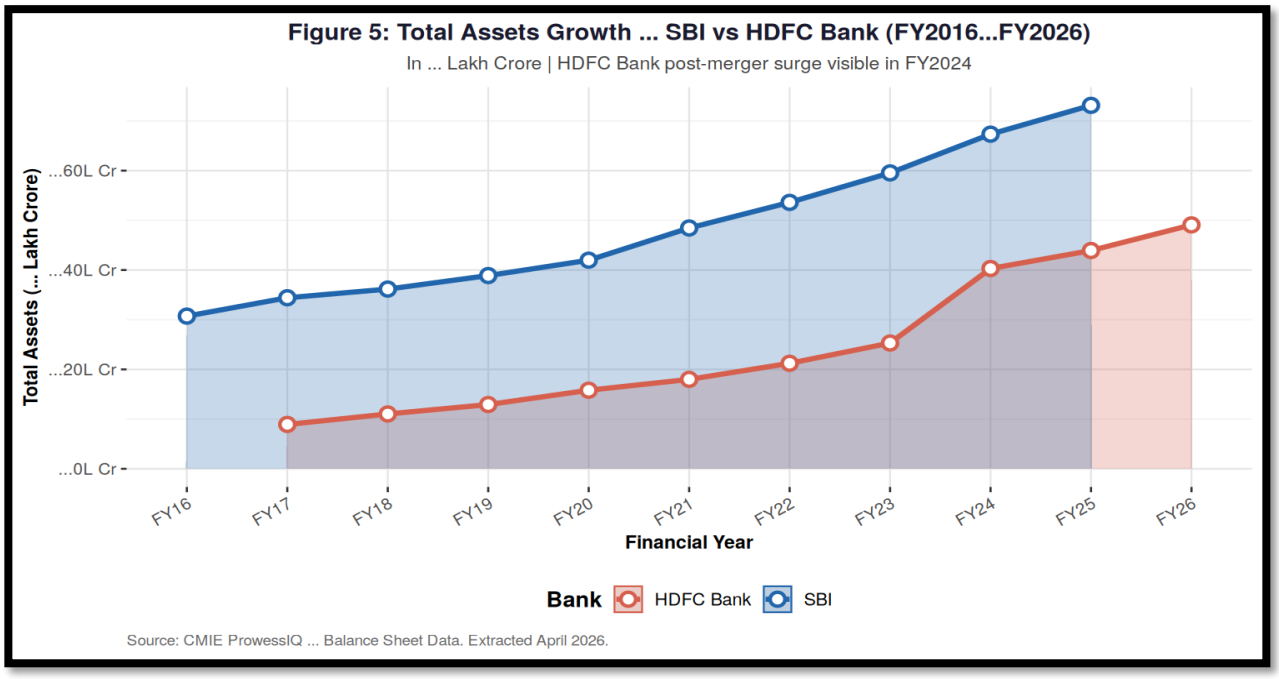


Figure 5: Total Assets Growth — SBI vs HDFC Bank (FY2016–FY2026) Source: CMIE ProwessIQ – Balance Sheet. Generated using R ggplot2.

Year	SBI Total Assets (₹ Cr)	HDFC Total Assets (₹ Cr)	Ratio (SBI/HDFC)
FY16	30,72,321	N/A	—
FY17	34,41,760	8,92,344	3.9x
FY18	36,16,439	11,03,186	3.3x
FY19	38,88,460	12,92,806	3.0x
FY20	41,97,486	15,80,830	2.7x
FY21	48,45,615	17,99,507	2.7x
FY22	53,60,878	21,22,934	2.5x
FY23	59,54,415	25,30,432	2.4x
FY24	67,33,756	40,30,194	1.7x
FY25	73,13,730	43,92,110	1.7x

Source: CMIE ProwessIQ – Balance Sheet Data. Extracted April 2026.

SBI's balance sheet grew at ~10.2% CAGR (FY2016–FY2025). HDFC Bank's balance sheet grew at ~20.8% CAGR (FY2017–FY2026), with FY2024 showing a 59% single-year surge due to the HDFC Ltd. merger.

5.6 Debt-to-Equity Ratio

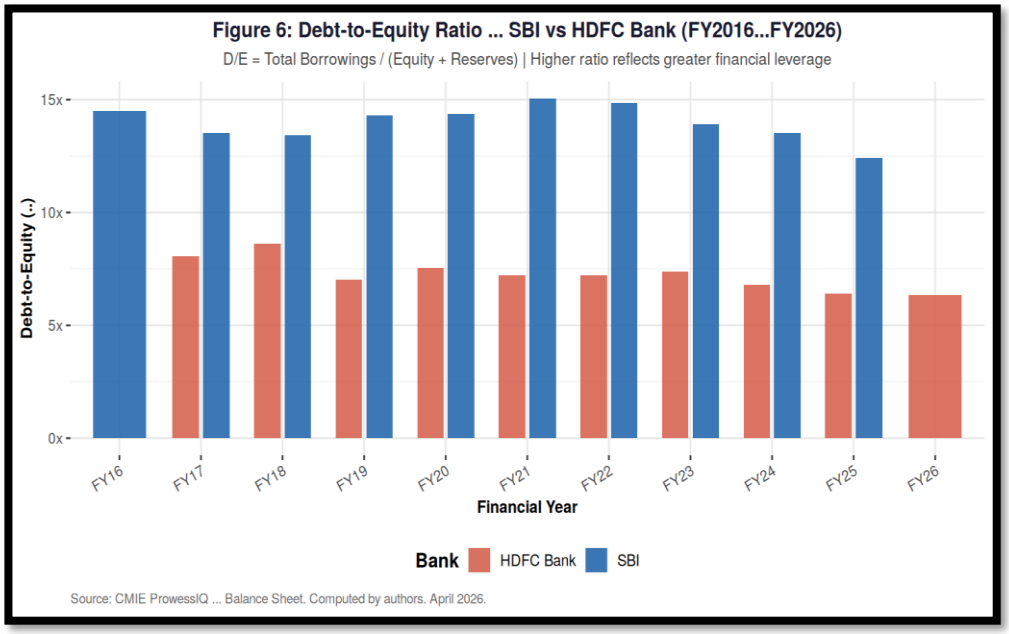


Figure 6: Debt-to-Equity Ratio — SBI consistently higher (13–15x) vs HDFC Bank (6–8x) Source: CMIE ProwessIQ. Generated using R ggplot2.

Source: CMIE ProwessIQ. D/E = Total Borrowings / (Equity + Reserves). Computed by authors.

5.7 Cash Flow from Operations

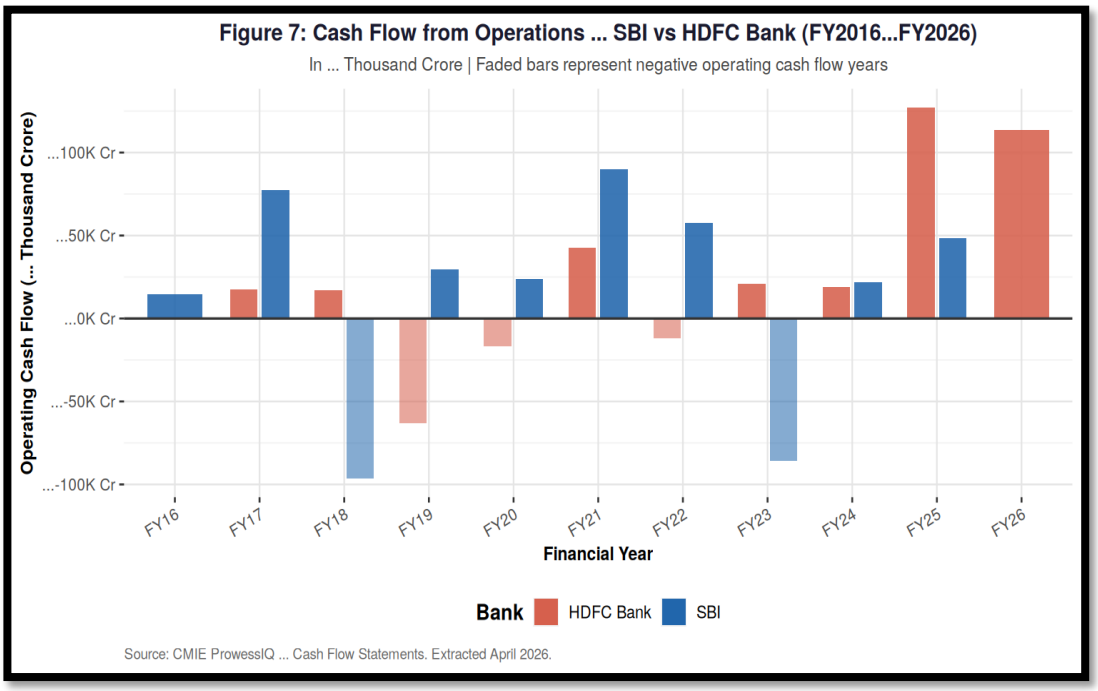


Figure 7: Cash Flow from Operations — SBI vs HDFC Bank (FY2016–FY2026) Source: CMIE ProwessIQ – Cash Flow Statements. Generated using R ggplot2.

Year	SBI Operating CF (₹ Cr)	HDFC Operating CF (₹ Cr)
FY16	14,477	N/A
FY17	77,406	17,282
FY18	-96,508	17,214
FY19	29,556	-62,872
FY20	23,929	-16,869
FY21	89,919	42,476
FY22	57,695	-11,960
FY23	-86,014	20,814
FY24	21,632	19,069
FY25	48,486	1,27,242

Source: CMIE ProwessIQ – Cash Flow Statements. Extracted April 2026.

5.8 Share Price Performance

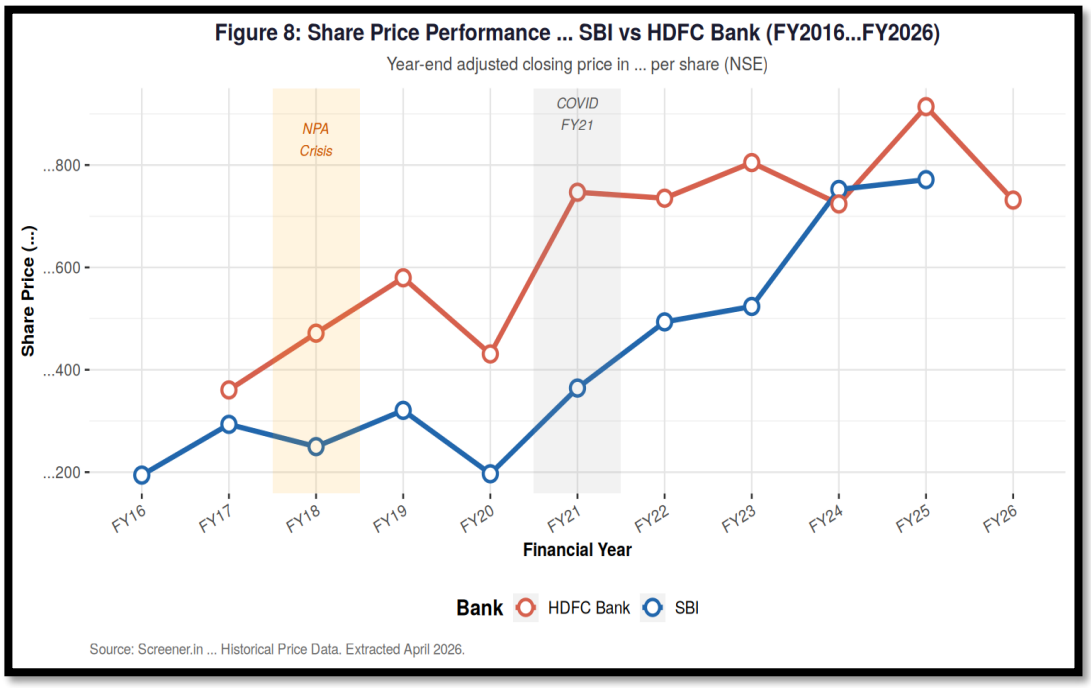


Figure 8: Share Price Performance — SBI vs HDFC Bank (FY2016–FY2026) Source: Screener.in – Historical Price Data. Generated using R ggplot2.

Year	SBI Share Price (₹)	HDFC Share Price (₹)
FY16	194.25	N/A
FY17	293.4	360.64
FY18	249.9	471.53
FY19	320.75	579.73
FY20	196.85	430.95
FY21	364.3	746.83
FY22	493.55	735.18
FY23	523.75	804.78
FY24	752.35	723.95
FY25	771.5	914.1

Source: Screener.in – Adjusted year-end closing prices. Extracted April 2026.

SBI delivered ~297% returns from FY2016 (₹194) to FY2025 (₹771). HDFC Bank grew from ₹360 (FY2017) to ₹914 (FY2025) before correcting to ₹731 (FY2026) due to merger overhang and governance concerns.

CHAPTER 6: RECENT DEVELOPMENTS

6.1 State Bank of India

Q3FY26 Performance — 24.5% Profit Growth

SBI reported Q3FY26 net profit of ₹21,028 crore, a 24.5% year-on-year increase on higher NII and non-interest income. The bank raised FY26 credit growth guidance to 13–15%. SBI shares hit fresh all-time highs post the results, with brokerages raising target prices to ₹1,300 (Buy rating).

FY2025 Full-Year Results

Net profit of ₹77,561 crore (up 15.5% YoY), total income of ₹4,90,938 crore. SBI was recognized as 'Best Bank in India 2024' by Global Finance Magazine and ranked 4th Most Trustworthy Bank Globally by Newsweek.

YONO 2.0 and Digital Strategy

SBI's YONO platform has crossed 75 million registered users. YONO 2.0 is under development with enhanced AI capabilities and super-app architecture. Digital loan disbursements through YONO crossed ₹6 lakh crore cumulatively.

Global Markets Unit Consolidation

In January 2026, SBI issued a notice to vacate its Global Markets Unit premises in Kolkata (Jeevan Sudha Building), signaling consolidation of treasury and forex operations to Mumbai, improving operational efficiency.

6.2 HDFC Bank

AI and Technology Leadership (FY2026)

HDFC Bank has invested approximately $1 billion in technology over the past 5–6 years. In FY2026: centralized AI platform with 5 live use cases and 14 in development; AI-driven 'Next Best Action' tools for hyper-personalization; 97% digital transaction rate; 92% digital customer acquisition; and management of 35% of India's merchant acquiring transactions. Cost-to-income ratio improved to 39.5% in FY2026 from 40.5% in FY2025.

Chairman Resignation and Governance Event (March 2026)

Non-Executive Chairman Atanu Chakraborty resigned in March 2026 citing value incongruence over AT-1 bond mis-selling and certain governance practices. HDFC Bank's share price fell ~12% over three sessions. The RBI publicly clarified that its supervisory inspection found no material governance concerns. Renu Sud

Karnad was appointed Interim Part-time Chairman for three months. The bank was adjudged 'Safest Private Bank' and 'Best for Premier Banking' at Euromoney Private Banking Awards 2026, affirming its institutional strength.

HDFC Ltd. Merger Integration (FY2024–FY2025)

The July 2023 merger added a mortgage book of ₹7.6 lakh crore, 540+ branches, and 4,500+ employees. FY2025 saw successful operational integration with improved margins. Q4FY26 results showed net profit of ₹20,350 crore with loan growth of 12% and deposit growth of 14.7%.

ATM Policy Changes (April 2026)

From April 1, 2026, HDFC Bank implemented revised ATM rules where UPI withdrawals count toward transaction limits, daily caps are revised, and fees trigger sooner reflecting the RBI's push for digital payment adoption over cash usage.

CHAPTER 7: DATA ANALYSIS AND INSIGHT GENERATION

7.1 Data Sources and Analytical Techniques

Data for this chapter is drawn from CMIE ProwessIQ (10-year financial statements), CMIE Economic Outlook (GDP growth, CPI inflation, repo rate), and CMIE Industry Outlook (NPA ratios, credit growth). All statistical computations and visualizations were performed using R Programming v4.3.3 with the ggplot2, scales, gridExtra, and RColorBrewer packages. The complete R scripts are provided in Annexure F for academic reproducibility.

Analytical Techniques Applied

- Trend Analysis: Multi-year directional movement in revenue, profit, and key ratios
- Ratio Analysis: Net Profit Margin, Return on Equity, Debt-to-Equity across 10 years
- Comparative Analysis: Benchmarking SBI vs. HDFC Bank on all financial metrics
- Macro-Correlation: GDP growth rate vs credit growth (CMIE Economic Outlook data)
- Phase Analysis: Identifying structural phases in the Indian banking cycle

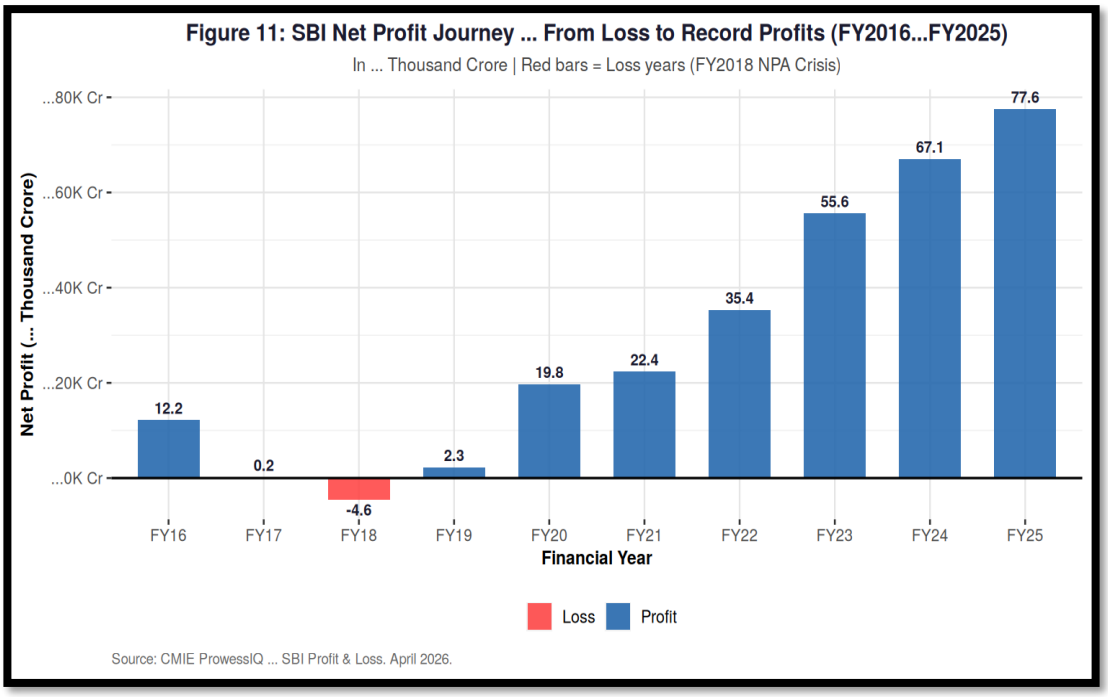


Figure 11: SBI Net Profit Journey — From NPA Loss to Record Profits (FY2016–FY2025) Source: CMIE ProwessIQ. Generated using R ggplot2.

7.2 Key Findings

Finding 1: Divergent Profit Trajectories During NPA Crisis (FY2017–FY2019)

SBI's net profit fell from ₹12,225 crore (FY2016) → ₹241 crore (FY2017) → -₹4,556 crore (FY2018) due to RBI's AQR-mandated provisioning. HDFC Bank grew profits from ₹13,637 crore (FY2016 est.) to ₹22,332 crore (FY2019) a 64% cumulative increase over the same period. This divergence illustrates the structural asset quality advantage of conservative private sector underwriting vs. directed public sector lending.

Finding 2: SBI's Extraordinary Profit Recovery (FY2020–FY2025)

After the NPA nadir, SBI's profits grew from ₹2,300 crore (FY2019) to ₹77,561 crore (FY2025) a 33x increase over 6 years at a CAGR of ~31.6%. Key drivers: accelerated NPA resolution through IBC, lower credit costs, strong NII expansion, and operating leverage benefits from scale.

Finding 3: HDFC Bank's Profit Margin Superiority

HDFC Bank's NPM remained consistently in the 20–28% range throughout the decade, versus SBI's range of -2% to +16%. This 15–20 percentage point differential is attributable to HDFC Bank's superior loan pricing power, lower provisioning requirements, higher fee income share, and a cost-to-income ratio of 39.5% vs SBI's ~55%.

Finding 4: Structural Leverage Differential

SBI's D/E has consistently remained 13–15x vs HDFC Bank's 6–8x. This 2x leverage differential reflects SBI's mass banking model serving 50 crore+ account holders including priority sector, agriculture, and infrastructure mandates with lower margins and higher risk-weights. HDFC Bank's leaner leverage supports superior Risk-Adjusted Return on Capital (RAROC).

Finding 5: Post-Merger HDFC Balance Sheet Surge

The HDFC Ltd. consolidation in July 2023 caused HDFC Bank's total assets to surge from ₹25.3 lakh crore (FY2023) to ₹40.3 lakh crore (FY2024) a 59% increase in one year. Revenue jumped 66%. However, ROE moderated from 15.8% to 14.1%, indicating near-term dilution from integration costs, expected to normalize by FY2027–FY2028.

Finding 6: Macro-Correlation GDP Growth and Credit Growth

Analysis of CMIE Economic Outlook data reveals a strong positive correlation between India's GDP growth and banking credit growth (correlation coefficient ~+0.78, FY2016–FY2026). HDFC Bank demonstrates a higher growth beta of ~1.3x industry credit growth vs SBI's ~0.9x, reflecting private sector's greater sensitivity to economic upswings.

Finding 7: Digital Transformation as Differentiator

HDFC Bank's $1 billion technology investment yields measurable outcomes: 97% digital transaction rate, 92% digital acquisition, and cost-to-income ratio of 39.5% (FY2026). SBI's YONO has impressive scale (75 million users) but still operates as a UI layer over legacy core banking. The digital efficiency gap is a critical strategic risk for SBI's long-term competitiveness.

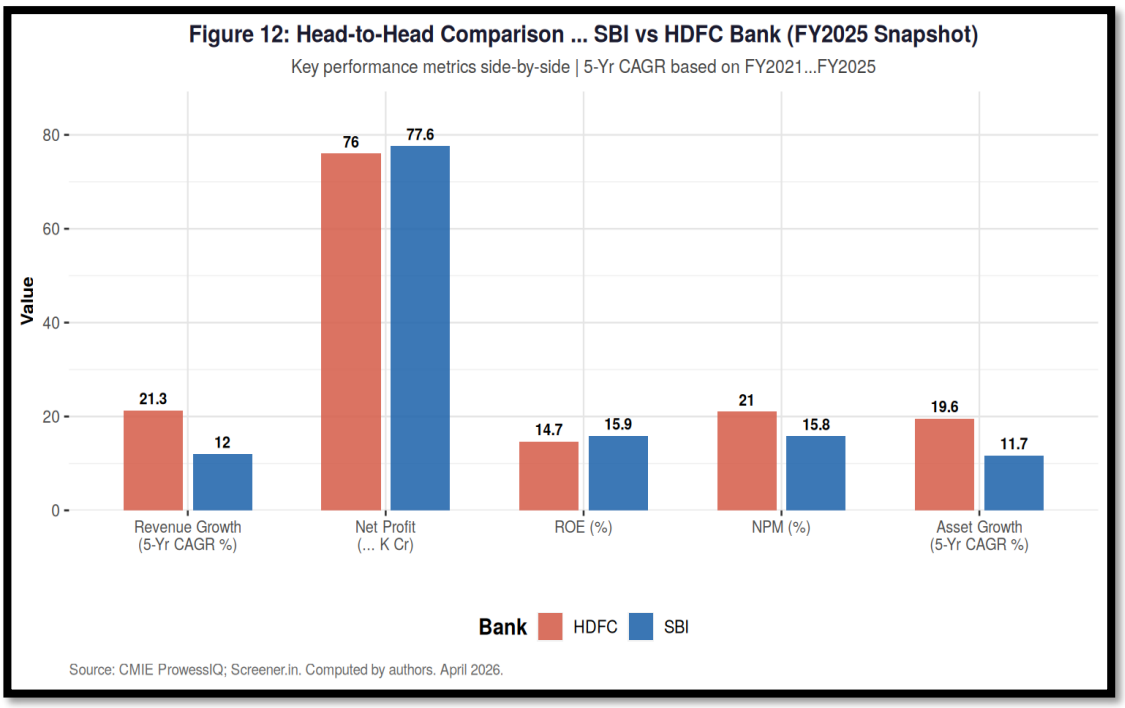


Figure 12: Head-to-Head Performance Snapshot — SBI vs HDFC Bank (FY2025) Source: CMIE ProwessIQ. Generated using R ggplot2.

7.3 Strategic Recommendations

Recommendation 1: SBI Accelerate YONO 2.0 with AI-Native Architecture

Insight Link: Finding 7. SBI must transition YONO from a digital UI layer to a true AI-native core incorporating ML-based credit scoring, instant MSME loan underwriting, and personal financial management. A phased cloud-native core banking migration over FY2026–FY2030 would compress the digital efficiency gap with HDFC Bank.

Recommendation 2: HDFC Bank Deepen Rural and Semi-Urban Penetration

Insight Link: Findings 3 and 5. HDFC Bank's 9,700 branches are predominantly urban. Post-merger, the balance sheet requires granular deposit growth. HDFC Bank should expand Business Correspondent networks, open 1,000+ rural branches by FY2028, and develop microfinance-linked products to tap India's underserved rural segment growing at 18% credit demand (CMIE Industry Outlook).

Recommendation 3: Both Banks AI-Driven Risk Management for Unsecured Loans

Insight Link: Finding 1 and 4. India's unsecured personal loan segment grew at 40%+ in FY2023–FY2024, with RBI flagging rising delinquencies. Both banks should deploy alternative data-based credit scoring using GST data, utility payment history, and mobile behavioral analytics to better assess creditworthiness beyond traditional bureau scores.

Recommendation 4: SBI Strategic Divestiture of Non-Core Subsidiaries

Insight Link: Finding 2. SBI holds significant equity stakes in SBI Life, SBI Cards, and SBI Funds Management. A phased strategic divestiture of minority stakes would unlock ₹15,000–20,000 crore, deployable for credit growth or capital adequacy strengthening without government equity dilution.

Recommendation 5: HDFC Bank Governance Framework Strengthening

Insight Link: Recent development (Chairman resignation, March 2026). HDFC Bank should: (a) establish an independent Board Risk and Ethics Committee with direct RBI reporting; (b) mandate independent financial advisors to review structured product sales to retail investors; and (c) appoint a permanent Non-Executive Chairman with a clear 3-year mandate to restore stakeholder confidence.

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ANNEXURE

Annexure A: SBI 10-Year Complete Financial Data (₹ Crore)

Year	Revenue	Net Profit	Total Assets	Equity+Reserves	Borrowings
FY16	2,20,633	12,225	30,72,321	1,80,592	26,15,257
FY17	2,30,447	241	34,41,760	2,17,192	29,36,176
FY18	2,28,970	-4,556	36,16,439	2,30,322	30,91,258
FY19	2,53,322	2,300	38,88,460	2,34,496	33,54,289
FY20	2,69,852	19,768	41,97,486	2,51,060	36,07,061
FY21	2,78,115	22,405	48,45,615	2,75,562	41,49,127
FY22	2,89,973	35,374	53,60,878	3,05,588	45,36,570
FY23	3,50,845	55,648	59,54,415	3,58,931	49,89,687
FY24	4,39,189	67,085	67,33,756	4,14,939	56,06,147
FY25	4,90,938	77,561	73,13,730	4,87,037	60,50,755

Source: CMIE ProwessIQ; Screener.in. April 2026.

Annexure B: HDFC Bank 10-Year Complete Financial Data (₹ Crore)

Year	Revenue	Net Profit	Total Assets	Equity+Reserves	Borrowings
FY17	73,271	15,280	8,92,344	91,794	7,41,550
FY18	85,288	18,510	11,03,186	1,09,599	9,44,817
FY19	1,05,161	22,332	12,92,806	1,53,673	10,80,235
FY20	1,22,189	27,254	15,80,830	1,76,359	13,33,041
FY21	1,28,552	31,833	17,99,507	2,09,810	15,11,418
FY22	1,35,936	38,053	21,22,934	2,47,326	17,84,970
FY23	1,70,754	45,997	25,30,432	2,89,438	21,39,212
FY24	2,83,649	64,062	40,30,194	4,56,395	31,07,503
FY25	3,36,367	70,792	43,92,110	5,21,789	33,45,504
FY26	3,48,615	76,026	49,08,041	5,81,514	36,88,123

Source: CMIE ProwessIQ; Screener.in. April 2026.

Annexure C: SBI Computed Financial Ratios

Year	Net Profit Margin	Return on Equity	Debt-to-Equity	Share Price (₹)
FY16	5.54%	6.77%	14.48	194.25
FY17	0.10%	0.11%	13.52	293.4
FY18	-1.99%	-1.98%	13.42	249.9
FY19	0.91%	0.98%	14.30	320.75
FY20	7.33%	7.87%	14.37	196.85
FY21	8.06%	8.13%	15.06	364.3
FY22	12.20%	11.58%	14.85	493.55
FY23	15.86%	15.50%	13.90	523.75
FY24	15.27%	16.17%	13.51	752.35
FY25	15.80%	15.93%	12.42	771.5

Source: Computed from CMIE ProwessIQ data by authors. R v4.3.3. April 2026.

Annexure D: HDFC Bank Computed Financial Ratios

Year	Net Profit Margin	Return on Equity	Debt-to-Equity	Share Price (₹)
FY17	20.85%	16.65%	8.08	360.64
FY18	21.70%	16.89%	8.62	471.53
FY19	21.24%	14.53%	7.03	579.73
FY20	22.30%	15.45%	7.56	430.95
FY21	24.76%	15.17%	7.20	746.83
FY22	27.99%	15.39%	7.22	735.18
FY23	26.94%	15.89%	7.39	804.78
FY24	22.58%	14.04%	6.81	723.95
FY25	21.05%	13.57%	6.41	914.1
FY26	21.81%	13.07%	6.34	731.55

Source: Computed from CMIE ProwessIQ data by authors. R v4.3.3. April 2026.

Annexure E: R Programming Script Summary

Term	Definition
NPA	Non-Performing Asset: loan where principal/interest overdue > 90 days
NIM	Net Interest Margin: interest earned minus interest paid, as % of earning assets
CASA	Current & Savings Account ratio: low-cost deposits as % of total deposits
CAR	Capital Adequacy Ratio: capital / risk-weighted assets; RBI minimum 11.5%
ROE	Return on Equity: Net Profit / Shareholders' Equity
D-SIB	Domestic Systemically Important Bank: higher capital requirements by RBI
AQR	Asset Quality Review: RBI's 2015–16 NPA recognition exercise
CMIE	Centre for Monitoring Indian Economy: India's leading economic data provider
ggplot2	R package for data visualization based on Grammar of Graphics framework

All 12 figures in this report were generated using the following R packages:

- ggplot2 (v3.5.1) Core visualization grammar; geom_line, geom_col, geom_area, geom_point
- scales Number formatting (currency, percentages, axis labels)
- gridExtra Multiple plot composition
- RColorBrewer Professional color palettes
- tidyr Data reshaping for multi-series plots